# Evan Majic


**Contact**

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**Education**

Northwestern University
M.A. in Economics (2022)
Ph.D. in Economics (2027, anticipated)

Princeton University
A.B. in Economics (2020), *Summa Cum Laude*

**Research Experience**

Northwestern University Department of Economics
*Research Assistant for Prof. Lawrence J. Christiano (Summer 2022 – Present)*

Federal Reserve Bank of Chicago
*Visiting Researcher (Fall 2024)*

**Other Experience**

Citigroup
*Investment Banking Analyst, Financial Strategy and Solutions Group (Summer 2020 – Summer 2021)*
*Investment Banking Summer Analyst, Financial Strategy and Solutions Group (Summer 2019)*

Federal Reserve Board of Governors
*Intern, Division of Research and Statistics (Summer 2018)*

**Research**

The Importance of *Inter Vivos* Transfers: Insuring and Investing in Children
(with Aaron J. Amburgey)

> We argue that *inter vivos* transfers from parents to children are much more important than previously thought for the cross-sectional dispersion of income and wealth as well as the inter-generational persistence of those quantities. We document two common features of transfers, front-loading and insurance, that account for their power. We also show how the size and type of transfers made to children vary across the wealth distribution and develop micro-level estimates of the effects of different types of transfers on children's choices. We establish the importance of these features for macroeconomic outcomes by embedding them in a quantitative overlapping generations (OLG) model with incomplete markets, education choice, and human capital accumulation.

Determinacy and Large-Scale Solutions in the Sequence Space
(with Adrien Auclert, Matthew Rognlie, and Ludwig Straub)
*Journal of Political Economy: Macroeconomics*, accepted

> We show that the sequence-space Jacobians of stationary models have a special "quasi-Toeplitz" form. This result implies a simple test for existence and uniqueness of solutions, helps significantly reduce truncation error, and allows the solution of very large sequence-space systems. We apply these insights to a heterogeneous-agent New Keynesian model, showing how to identify thresholds for determinacy and also how to solve the model using fast iterations rather than direct operations on truncated matrices. We leverage these results to solve a 190-country version of the model with a realistic trade network almost instantly, in spite of its state space having dimension of almost 1 million.

**In Progress**

Debt Limits and Growth Rates

Using a quantitative heterogeneous-agent model with growth via individuals' human capital accumulation, we study the limits of the economy to absorb large quantities of government debt and the effects of that debt on equilibrium growth rates. We find, for a calibration matched to US data, that debt capacity is substantial at current levels. We also find that the drag on growth rates is low, but non-negligible. Moreover, capacity can be increased even further by raising taxes, but the impacts of the additional capacity on growth depend strongly on the taxes used to fund the additional debt.

Monetary Policy and Unanchored Expectations
(with Lawrence J. Christiano)

**Languages** English (native)

**Programming** Python, R, C++, Matlab, Dynare, LaTeX, Julia